

Off the Clock? Working Time Misperceptions and Labour Market Outcomes*

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Abstract

This paper documents a gap between workers' formal working time arrangements and their own reports of them, and examines what this gap reveals about informal working time flexibility. Combining administrative and survey data at the individual level, we construct a new and unique data set which shows that nearly 20% of the workforce mistakenly report that they work under day contracts, with no monitoring of hours, while they are actually paid through a standard hours contract. This reveals that many workers with various profiles may be misinformed about the legal environment governing something as fundamental as their working time. We show that these misreporting workers differ from classic workers in terms of working conditions: they perform more unpaid overtime hours but have a higher wage rate per contractual hour, so that their true compensation per hour worked is similar. Working time rules appear not to be fully applied to misreporters, but we find no evidence that employers use the discrepancy to extract rents. Non-compliance seems to operate as an informal working time arrangement facilitating a gradual transition between standard hours contracts and day contracts.

Keywords: Compliance, Working Time Regulations, Flexible Work Arrangements

JEL Classification: J32, J33, J41, M50.

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1 Introduction

Regulations are a ubiquitous feature of labour markets in modern societies. Their role is to frame the relationship between workers and employers, to protect workers from potential risks of abuse, and to correct for market failures. Common rules that aim to limit those risks include minimum wages, right to strike, maximum working time duration, and workplace safety standards. Among these, working time regulation is one of the most pervasive and one of the most complex to enforce, since it requires continuous monitoring of hours actually worked rather than a one-off verification of contractual terms.

To achieve their goal, labour regulations need to be respected. While compliance with such laws is the focus of much research in developing countries (see Bhorat and Ravi Stanwix (2019) for a survey), it is nowadays often taken for granted in developed countries (see e.g. Gourio and Roys (2014); Garicano et al. (2016) for the effect of size-dependent firm regulations). However, there remain examples of widespread non-compliance (see Askenazy et al. (2022) for a related case, or Boeri et al. (2024)). Achieving compliance requires either a strong supervisory or control body (see Roncioni (2019) on the role of enforcement), or workers who are informed about their rights and capable of enforcing them through collective bargaining or legal proceedings. This is particularly demanding for working time regulation, where compliance cannot be assessed from the contract alone but depends on hours actually worked, making workers' own knowledge of their legal regime especially consequential.

This paper focuses on this latter aspect and examines to what extent workers are aware of a fundamental aspect of their working contract: the legal regime covering their working time. While most existing evidence on workers' awareness of their rights relies directly on survey responses (CSA, 2016; Humanis, 2024; Van Rooij, 2020), our study is among the first ones to combine self-reported information from a detailed survey conducted by the French Ministry of Labour, with administrative data on workers' contractual arrangements.

This unique data allows us to identify misreporters unambiguously and to carry the analysis further, that is to study the relation between workers' potential misunderstanding of their contractual arrangement and their actual working hours, hourly wages, and earnings. By misreporters, we refer to workers who declare that their working time is measured in days, while they are legally employed under standard contracts in which working time is recorded in hours. An interesting feature of our data is that we can clearly separate these misreporting workers from workers

who explicitly report not knowing under what type of contract they are employed. Documenting the gap between formal arrangements and workers' reports, and relating it to labour market outcomes, is the main contribution of this paper. To the best of our knowledge, there is no prior work focusing precisely on this question.

What are the theoretical risks workers face when they are unaware of their contractual working time arrangements? A first risk is legal: from a strictly legal standpoint, if actual hours worked exceed those stipulated in the contract, workers are performing unpaid overtime and the employer is in violation of labour law. When workers are unaware of such discrepancies, these violations may persist over time without being challenged. Beyond this legal dimension, a broader concern stems from informational asymmetries between employers and employees. Firms typically have dedicated HR departments with the expertise and resources to design and manage labour contracts, whereas workers often lack the time or knowledge to fully understand the regulations governing their employment. Employers may exploit this informational advantage to circumvent legal obligations and extract economic rents. Such mechanisms are likely to be more effective in imperfect labour markets, where workers have limited bargaining power and face obstacles in seeking alternative employment or renegotiating their compensation.

Under a "regulationist view", strict adherence to working time regulations is essential to protect workers against the consequences of asymmetric information with employers, and legal authorities should adopt strict policies of practice control within workplaces. However, if regulation failures are compensated by market mechanisms, workers and firms may deviate from regulations when market mechanisms allow them to reach better outcomes than under regulation. According to this "market view", deviations from the regulatory framework could be interpreted in our context as a form of mutually beneficial flexible work arrangement. Our work sheds light on both of these perspectives.

France provides an ideal setting for studying these mechanisms, as it represents a prominent example of a strongly regulationist system, with working time regulation governed by an extensive and particularly complex set of rules within the Labour Code. This complexity creates conditions where employers are likely to have superior understanding of the applicable hours regime compared to workers, thereby amplifying the informational asymmetry between the two parties.

More specifically, we focus on a particular French flexible work arrangement known as *forfait jours* (or day contract hereafter), which officially covers about 10% of all salaried workers in 2017, almost exclusively in high-wage sectors. For workers subject to these contracts, working time is

measured in terms of annual working days rather than in weekly hours, which implies almost no regulation on hours worked. Importantly, the employer is neither required to monitor nor control the hours worked of these workers, while this is a central legal requirement for workers on hours contracts, who must be paid overtime hours if their working time exceeds their contractual working load. This flexible work arrangement provides substantial adaptability to workload fluctuations for both employers and employees but may generate risks to workers' protection. We uncover a striking empirical finding: 18% of workers in our sample believe that they are working under this flexible arrangement when, in fact, they are not, according to the administrative source stemming from labour contracts. Additionally, 15% of workers report not knowing their working time status, representing a distinct form of imperfect information. We provide evidence that misreporting is unlikely to reflect random measurement error.

This high rate of misreporting in our sample — 27% of workers think they hold a day contract while only 10% actually do — appears widespread across workers' and firms' characteristics and prompts us to examine the consequences for workers. We first inquire if workers' misreporting is indeed related to non-compliance with their working contract. To do so, we combine official information on their total paid working hours with survey information on their total weekly hours (paid or unpaid). Results show that workers who report holding a day contract while they are paid by the hours also indicate working longer hours and more unpaid overtime hours than similar workers who are aware of their contract. This suggests imperfect compliance with working time regulation from employers, even though we cannot fully reject that workers who are unaware of their contractual arrangement also misperceive their total weekly hours as compared to better informed — and perhaps more attentive — workers. We then examine whether misreporting is associated with worse working conditions. This matters for policy: if misreporters were treated less favorably, a key objective would be to increase knowledge of regulations, either by simplifying them, or by ensuring that labour unions are strong enough to impose compliance. However, our results point to a different conclusion: misreporters are compensated for their longer hours through higher earnings and report comparable levels of job satisfaction, suggesting their potential lack of information is associated with limited welfare consequences. These results are driven by high-skilled workers, whose working conditions thus differ from similar workers correctly reporting their hourly work arrangements.

While workers who misreport their contract type do not appear to suffer immediate consequences from their limited knowledge, we exploit the panel dimension of our data to examine

longer-term outcomes. We find that misreporters are more likely to transition to an official day contract than workers who correctly report hours contracts. However, when they do, they do not experience the typical wage increase associated with this transition, suggesting they had already captured part of the day contract wage premium.

Together, the results suggest that employers can circumvent working time regulations and manage their workers more flexibly by offering them better working conditions. However, they provide no evidence that employers take advantage of the discrepancy to extract rents at workers' expense. Our set of results might be best understood as reflecting that market mechanisms are able to compensate for regulation failures. Workers in hours contracts who misreport their status appear to occupy an intermediate position between accurate reporters with hours contracts and workers on day contracts. This suggests the existence of informal arrangements that can be interpreted as *de facto* flexible work arrangements, enabling greater flexibility beyond formal contractual terms.

Related Literature. This work relates to three main strands of literature. First, this paper contributes to the recent and developing literature on flexible work arrangements. *Forfait jours* agreements represent a form of flexible arrangement in which hours are not monitored and workers have autonomy in organizing their work. Previous research has shown that flexible jobs are highly valued by workers, particularly when employees can anticipate their schedules and maintain decision-making power over their time allocation (Mas and Pallais, 2017; He et al., 2021; Adams-Prassl et al., 2023). We contribute to this literature by leveraging rich administrative data combined with survey measures of job satisfaction and find a positive association between workers' welfare and these arrangements. At the end of the paper, we use individual fixed effects in a panel data structure to provide estimates of earnings changes associated with signing an agreement, thereby capturing how much employers are willing to pay for workforce flexibility. Our results demonstrate that employers highly value workers' flexibility. In this regard, the specific institutional context of *forfait jours* agreements provides numerous insights that extend beyond the topic of non-compliance and speak to the literature on flexible work arrangements in modern labour markets. The paper also speaks to a relatively underdeveloped strand of the literature examining the distinction between formal and informal flexible work arrangements. Prior research has shown that some formal flexible arrangements may generate stigma and contribute to a "flexiglass ceiling" (Weeden, 2005), particularly for women (Xiang et al., 2022), when compared with informal

arrangements. De Menezes and Kelliher (2017) further argue that informal arrangements are associated with better performance outcomes because they rely on more collaborative relationships between workers and employers. Although a large share of flexible work arrangements are informal in practice (Gregory and Milner, 2009), systematic empirical evidence on their functioning and consequences remains limited. Our paper contributes to filling this gap.

Second, a substantial literature has studied the economic impacts of non-compliance with labour regulations, although rarely with working time regulation, which is our focus. Economic research on compliance with labour laws has predominantly focused on developing countries, where institutional weaknesses often lead to widespread non-compliance (see Bhorat and Ravi Stanwix (2019) for a comprehensive survey). However, examples of non-compliance also exist in developed economies, as documented by Boeri et al. (2024) on non-compete clauses and Askenazy et al. (2022) on firms' size-dependent regulations. Within this literature, there has especially been a long tradition of examining compliance with minimum wage regulations (see e.g. Rani et al. (2013) and Garner (2018)), dating back to the seminal work of Ashenfelter and Smith (1979). Focusing explicitly on working time arrangements is less common, with the notable exception of Cohen et al. (2023) who study firms' avoidance of overtime regulations through the use of "managerial" contracts. Their work can be viewed as strongly related to ours as the *forfait jours* regulation is designed for similar types of workers and implies an exemption from overtime regulations. A key distinction of our approach from the existing economics literature is that we focus directly on workers' awareness of their contractual arrangements rather than examining compliance per se. This shift in perspective allows us to investigate the underlying mechanisms that may drive non-compliance and to assess whether informational asymmetries between employers and workers contribute to regulatory violations and their associated economic consequences.

In doing so, we relate to a large literature in legal studies examining workers' awareness of the law and its consequences, particularly for compliance. In his review of this literature, Van Rooij (2020) assesses individuals' knowledge of legal rules governing their activities across various domains, including employment law, criminal law, and health regulations. Common findings across studies reveal major information gaps between professionals and laypersons, which the author attempts to explain (e.g., highlighting the role of social norms) and preliminarily discuss associated compliance risks. The main reference for our paper is Kim (1999), who examines workers' knowledge of their legal protection in the context of American at-will employment contracts. Her results demonstrate that a substantial share of workers have limited knowledge about their employment

rights, with potential negative impacts on workers' welfare as the grounds for dismissal are misunderstood. However, these studies are based on survey evidence with small samples and are mostly interested in compliance and respect of the law, as they are not able to link non-awareness to actual economic outcomes on the labour market. In contrast, we relate these discrepancies to observed labour market outcomes, which lets us examine whether informational asymmetries are one channel through which they matter. Our research also contributes to this literature by leveraging a unique setting that combines a large sample size with limited reporting issues, as data are collected by the Ministry of Labour's statistical service.

The rest of the paper proceeds as follows. Section 2 introduces the relevant elements of French working time regulation, particularly those related to *forfait jours* agreements. Section 3 presents the data assembled for the study. Section 4 characterizes the profile of misreporters and their distribution across workplaces. Section 5 studies the implications for their labour market outcomes, including their earnings trajectories. Section 6 discusses the findings of the paper.

2 Working Time Regulation in France

In France, the legal duration of working time is set at 35 hours per week for full-time employees in all companies regardless of their size. This is a reference duration, a threshold from which, except for exceptions, overtime hours are calculated. It is therefore neither a minimum duration (employees can be employed part-time) nor a maximum: overtime hours can be worked within the maximum durations beyond which no work can be requested. Associated with the establishment of the 35-hour reforms in 2000 and 2002 (see Askenazy (2013) for more details), an extensive legislative framework has defined the conditions for the organization of working time in the workplace. In particular, compliance with mandatory rest periods, the employee must not exceed a maximum number of weekly working hours, and payment of overtime hours are obligations incumbent upon the employer. Consequently, the employer must adopt methods to monitor the working time of their employees in order to respect them.

A first solution for this is to establish fixed collective working hours. The starting and ending times of each work period are predetermined with no individual flexibility. The employees concerned are informed through mandatory display on the workplace and must adhere to them. Working time is thus perfectly controlled, and any work hour beyond the fixed working periods is paid as an overtime hour at an extra rate of 25% for the first eight hours and 50% thereafter.

When the implementation of collective schedules is not possible, the employer can set individual fixed schedules for each employee. Working time is then monitored in the same way.

Second, when tracking fixed schedules is impossible due to flexibility reasons, the employer must record working time. This is done for each employee according to the following methods (defined in article D.3171-8 of the Labour code): either daily or weekly, by recording, by any means, the start and end times of each work period or by recording the number of hours worked. Proper monitoring of working hours can be subject to inspection by labour authorities at any time, which may result in criminal proceedings.

Finally, employees can work under a *forfait* system, i.e. they have established with their employer an agreement which allows the employer to spread out the periods for measuring working time. The Labour Code provides two types of *forfait* contracts. First, there are *forfait heures* agreements, which allow employers to facilitate the management of overtime by systematizing it. These hourly agreements do not exempt employers from their obligations to measure employees' working time according to the usual rules (daily recording or tallying and weekly summary of hours worked). Then, there are the *forfait jours*, central to this article. These day-based agreements allow employers not to count working time hour by hour but rather half-day by half-day¹. They are the only legal working time regime for which the hours worked do not have to be measured and controlled by the employer². *Forfait jours* agreements are distinguished by the flexibility granted to the worker in organizing their work but are considered capable of generating abuses such as excessive weekly workload. They are therefore heavily regulated by the Labour Code, only addressed to employees with strong autonomy in organizing their schedules, and require the employee's written agreement. Figure A1 represents the share of workers with a *forfait jours* agreement by occupation. Occupations with the highest share of *forfait jours* agreements include corporate executives, engineers, or journalists. On the other hand, there are almost no workers with such contracts in most low-skilled occupations.

In summary, employees have three main options when it comes to their working time arrangement: a) they have known fixed schedules, b) they have variable schedules, and their employer measures and controls their working hours, or c) they are subject to a *forfait jours* agreement. In the rest of the paper, contracts that are associated with a *forfait jours* agreement are often referred to as day contracts, as opposed to hours contracts for all other contracts that involve a monitoring

¹In the French regulation, a day corresponds to 7 hours and a half-day corresponds to 3.5 hours.

²The employer must still be able to provide evidence of respect of mandatory rest periods to the legal authorities, which may involve some monitoring for this particular purpose.

of hours by employers.

As explained above, in cases where their job is eligible, the individual *forfait jours* agreement is subject to the employer's and employee's agreements. A crucial question in the context of our study concerns the incentives to work under a day contract from both perspectives. *Forfait jours* agreements provide clear benefits for employers. Workplace management is made easier by removing the need to track working hours or handle employee schedules as it cuts down on administrative work. They also help control labour costs by avoiding overtime payments, especially in periods of high activity³. Beyond these practical gains, employers see these contracts as able to improve workplace relationships by giving employees more autonomy and creating a more relaxed management style. Taken together, the main advantage of *forfait jours* agreements is to allow employers to work around some of the more complex parts of French employment law. This flexibility comes with risks, as many court cases have shown employees winning claims for overtime pay when the associated rules were not properly respected, but overall *forfait jours* agreements appear as highly valued by employers.

From the employee's perspective, to what extent does an employee have an interest in concluding a *forfait jours* agreement rather than working under a system governed by weekly hours? As noted in previous work from the French labour law literature (Ray, 2016), there is no clear answer to this question. Workers with day contracts can theoretically work up to 13 hours per day and have frequently been described as subject to extreme workweeks (Bouffartigue and Bouteiller, 2000), but their number of hours is possibly very heterogeneous. Even when their hours are not monitored, employees are asked to report their usual and current week hours in the French Labour Force Survey⁴. The reports show a higher concentration of employees with *forfait jours* agreements between 40 and 50 weekly hours, reflecting the fact that they tend to work more on a weekly basis. In terms of remuneration, by signing the agreement, an employee forgoes a significant salary increase associated with overtime hours. On the other hand, they are compensated through higher wages and benefit from additional rest days, also convertible into earnings. When we restrict to objective working conditions, i.e hours and earnings, the incentive to sign or not sign the agreement is unclear. This contrasts with other survey evidence, including our data, which consistently documents higher reported job satisfaction, particularly related to working-time arrangements, for workers with day contracts. It appears that the decision to sign a *forfait jours* agreement also

³As an example, during the 2024 Paris Olympics, the organizing committee massively used these contracts to avoid overtime regulations, thus resulting in substantial uncompensated workload for fixed-term hired workers.

⁴The *Enquête Emploi* is administrated by the public institute for statistics, *Insee*.

relies on a preference for flexibility and liberation from employer control over hours, paid at the cost of potential heavy weekly workloads. Prior research on flexible work arrangements (Mas and Pallais, 2017; Adams-Prassl et al., 2023) has identified that workers tend to favor flexible arrangements conditional upon retaining sufficient autonomy over their schedule management.

Despite the widespread use of *forfait jours* agreements in France, there is remarkably little empirical research examining these contracts and their implications for workers. This paper contributes to filling this gap by providing new evidence on *forfait jours* agreements, particularly regarding their association with job satisfaction and wage premia.

3 Data

3.1 The DADS Dataset

The *Déclarations Annuelles de Données Sociales* (DADS) is a French linked employer-employee database widely used in the economic literature (see e.g. Abowd et al. (1999)). It is based on annual social security records of firms and contains for each employee information related to employment, labour earnings, number of hours worked, and other relevant information provided by employers. The report is usually done by HR services and has important consequences, e.g. on the amount of social security contributions paid by the firm. We use the exhaustive yearly versions of this dataset that cover the entire salaried workforce in each of their employment spell (DADS-Postes), for years 2015 to 2019. A crucial element to our approach is the presence, starting from 2017, of a variable that describes the working time unit (day or hours) of the employee. This variable provides administrative information on the legal arrangement of working time, i.e. on whether the employee works under a contract in days or in hours. We also use net annual labour earnings and paid annual hours worked, as reported by the employer. This measure of hours includes all periods that involve a remuneration, hence not only regular working weeks but also paid leave. Note that the reported measure of hours is meaningless for workers with a day contract, consistent with their status⁵.

⁵Employers are not required to report hours of workers with day contracts, so an imputation is done by Insee, the French National Institute for Statistics and producer of the database, to assign 1,820 or 2,200 annual hours to all day contract workers.

3.2 The REPONSE Dataset

The empirical analysis is also based on the French Ministry of Labour’s Workplace Employment Relations Survey for 2016-2017 (REPONSE17), covering 5,948 non-agricultural business workplaces with more than 10 employees. The REPONSE17 survey was run between January and June 2017. REPONSE17 is one of the leading sources of data on industrial relations in France. Its main originality and strength is to collect information in most participating workplaces from a management representative, a sub-sample of employees, and a worker representative. In this paper, we do not use any information from the worker representative’s part of the survey.

Employer survey (REPONSE17-Employer). In 4,363 of the participating workplaces, a management representative could complete a lengthy face-to-face interview relating mainly to work organization and industrial relations. The answers constitute the employers’ part of the survey, from which we retrieve information on the presence of union representatives, the practices in terms of mutually agreed contract ends, use of overtime hours or telework, the nature of collective agreements, and other workplace characteristics.

Worker survey (REPONSE17-Workers). A random sample of 5 to 10 workers in each participating workplace finally receives a 2-page, 50-item questionnaire by mail or by email. The questionnaires are filled out by a core sample of 21,320 workers in the subset of 4,363 workplaces that participate in the employer survey, plus an additional sample of 7,643 workers in 1,584 more workplaces for which no workplace level information is available. The structure of the survey, collected on several workers per workplace, allows us to use a workplace fixed effect in most of our specifications. The data includes the usual worker demographics, work organization, job satisfaction, union membership and representation mandates. Hourly earnings for 2015, taken from the DADS, have directly been matched with REPONSE17 by the Ministry of Labour. These hourly earnings are constructed as annual earnings divided by the number of hours worked. They include basic wages, performance-related pay and non-performance related bonuses. They are net of employers’ and workers’ social security contributions, but gross of income tax.

As part of the survey, workers are asked if their working time is subject to a *forfait jours* agreement. We use their answer as a reliable information about worker beliefs regarding their work arrangement. The question is asked in the following terms (in French): *“Is your working duration determined in the form of a forfait jours agreement? The principle of forfait jours agreements is based on*

counting working time in terms of the number of days per year rather than in hours.”. Individuals are offered to answer “yes”, “no” or “do not know”. This last option legitimates our interpretation of positive answers as conveying a worker’s belief about their arrangement, thus is important to the purpose of the paper. After dropping observations where the information on *forfait jours* is missing (1% of the sample)⁶, we obtain a dataset of 28,529 workers.

3.3 Sample

Our goal is to identify workers who report themselves as subject to a *forfait jours* agreement in the survey, but who do not appear as so in administrative records. Then, we need to connect the REPOSE17 dataset, containing the survey information, with the DADS 2017 dataset at the individual level. To build this sample, we proceed in multiple steps.

First, we link REPOSE17 to the DADS 2015 dataset using the workplace’s ID and the main characteristics of the workers⁷. The high matching quality relies on the presence in REPOSE17 of annual earnings and annual hours worked from the DADS 2015 dataset, that provide a consistent and very granular matching variable. We are able to perfectly match 27,682 individuals out of the initial 28,529 (97% matching rate). This first match yet combines survey information from the year 2017 with admin information regarding the year 2015, which does not permit a proper comparison. To confront both sources of information on the same year, we use the method from Babet et al. (2022) chaining DADS datasets across years⁸, hence building unique workers’ IDs between 2015 and 2017 to construct a quasi-exhaustive panel dataset. Using a correspondence table of yearly identifiers to this unique identifier, the matched sample is reduced to 23,160 observations (84% matching rate). Out of this number, we are able to connect 21,708 workers (94% matching rate) to a unique 2017 identifier. It means that we have access to both administrative and survey information on the presence of a *forfait jours* agreement for 76% of the original sample.

Throughout the construction of the sample, the main loss of observations occurs in the 2015-2017 DADS chaining step. In their original paper, Babet et al. (2022) report matching rates of 98% between 2015 and 2016, and 91-93% between 2016 and 2017, which produces a 90% (0.98×0.92) overall matching rate from 2015 to 2017, thus slightly superior to our 84%. This difference is likely due to the scope of REPOSE17, which only concerns workplaces with more than 10 employees.

⁶These workers are similar in characteristics to workers who report not knowing their contract and their reported hours are concentrated around 35 hours per week, which suggests that working time is not a salient issue for them.

⁷Worker-related match variables are age, sex, annual net labour earnings, annual hours worked.

⁸The method exploits the overlap of information generated by variables describing the worker’s situation in the previous year.

As the chaining procedure relies on the overlap of information in t and $t - 1$ datasets, we argue that information is less likely to be consistent across years for workers in large workplaces. Table A1 in the Appendix compares the final sample with the original REPONSE17 dataset on main characteristics. Workers who report having a day contract in the survey are slightly under-represented in the matched sample, which is partly explained by the under-representation of high-skilled workers who gather most workers who truly work under a day contract. Overall, the matched sample remains sufficiently close to the original REPONSE17 for the findings to bear external validity.

The final sample divides as follows with respect to the survey and administrative information. 8.7% of the sample are workers with a day contract who report themselves accurately in the survey data. 56.6% are workers with an hours contract who report themselves accurately in the survey data. 18.0% are workers with an hours contract who misreport themselves in survey data, i.e. they claim that they work under a day contract. Those individuals are our main group of interest throughout the paper. Finally, 15.4% of the sample are workers with an hours contract who answer in the REPONSE17-Workers survey that they do not know whether their contract is in days or in hours. Table 1 recapitulates the distribution of the different statuses in the sample. We remove from the sample the few individuals (1.2% of the sample) who work under a day contract according to the administrative records but who either answer that they have an hours contract or that they do not know their contract status in the REPONSE17-Workers survey. This yields a final sample of 21,438 workers. In the course of the paper, workers with hours contract who accurately report are used as the reference group in most specifications, while we are primarily interested in studying the characteristics of workers in hours contracts who either don't know or misreport their status.

We address some potential issues related to the definitions of contract and information status. First, we consider the employer-reported information from the DADS variable as describing the true working time status of the individual. This assumption is supported by the administrative nature of the database, and by the nearly 10% share of workers with an actual day contract that is in line with other sources (*Enquête Emploi*, *ECMOSS*) published by Insee, the French national institute of statistics.

However, employers may have strategic incentives to misreport some workers with day contracts as having hourly contracts. Since social security contributions are higher for *cadres* (corporate executives), who are typically eligible for *forfait jours* agreements, employers have financial incentives to misreport the status of these workers to avoid extra costs. This would require misre-

Table 1: Distribution of Workers by Contract and Information Status

		Worker's belief about their contract (REPONSE17-Workers)		
		Day Contract	Hours Contract	Do Not Know
Contractual administrative information (DADS)	Day Contract	Accurate Reporters	-	-
		8.7%	0.9%	0.3%
		N = 1,883	N = 199	N = 71
	Hours Contract	Misreporters	Accurate Reporters	Do Not Know
		18.0%	56.6%	15.4%
		N = 3,915	N = 12,289	N = 3,351

Note: This table presents the distribution of contract $\times$ information status in the final analytical sample based on the combination of answers in the REPONSE17-Workers survey and DADS administrative records. The sample is composed of 21,708 workers. Workers' beliefs about their contract are derived from their answer to the question about *forfait jours* agreements in the survey. Day contracts denote labour contracts associated with a *forfait jours* agreement, i.e. without mandatory monitoring of hours worked. Hours contracts gather all other labour contracts. Workers are classified into four categories: (1) "Day Contract - Accurate Reporters" who report holding a day contract in the survey and who appear as so in the administrative records; (2) "Hours Contract - Accurate Reporters" who report not being subject to a day contract in the survey, consistently with DADS administrative records; (3) "Hours Contract - Misreporters" who report working under a day contract in the survey but do not appear as such in DADS administrative records; (4) "Hours Contract - Do Not Know" workers who respond "do not know" when asked about their contract status in the survey, while working under an hours contract according to DADS administrative records. Individuals who have a day contract in administrative records but answered "no" or "do not know" in the survey (1.2% of the sample) are excluded from the sample hereafter.

porting both the worker's occupation (as intermediate worker rather than *cadre*) and the contract type to maintain consistency. In such cases, workers whom we label as misreporters would in fact be correct while their administrative information would be wrong. To evaluate this risk, we examine the workplace-level correlation between the share of intermediate workers in the workplace and the share of misreporters among intermediate workers. The idea is that workplaces that undertake those reporting strategies would have a higher share of intermediate workers implied by the under-declaration of *cadres*. We find no evidence in our sample that these measures are positively correlated.

Second, we argue that the group of misreporters does not simply result from random error in workers' perceptions of their contract and that they reflect their genuine beliefs. Under random error, the probability of misreporting would be equal regardless of the actual type of contract. However, given that 90% of our sample have hourly contracts, the misreporting rate among hourly contract workers is approximately 20% (18/90), while the equivalent rate among day contract workers is only 9% (0.9/10) from Table 1. The rate of random error is therefore at most 9%, implying that at least 11% of workers under an hour contract would be true misreporters. While this share is still significant, it is lower than the baseline one, which could induce some attenuation

bias in our comparisons of the different groups.

Third, a non-random discrepancy between survey and administrative records can arise for two reasons, which our data do not allow us to fully separate. Because the survey question names *forfait jours* agreements and explains their principle, the discrepancy is informative about workers' understanding of their formal working time regime. However, workers may also base their answer on how their work is organized in practice, for instance when their hours are not monitored. Throughout the paper, the term *misreporters* therefore denotes workers whose survey answer differs from their administrative record, without presuming that all such discrepancies arise from the same mechanism. Section 4.2 shows that misreporting is associated with specific workplace practices, consistent with the second explanation playing a role.

4 Description of the Misreporters

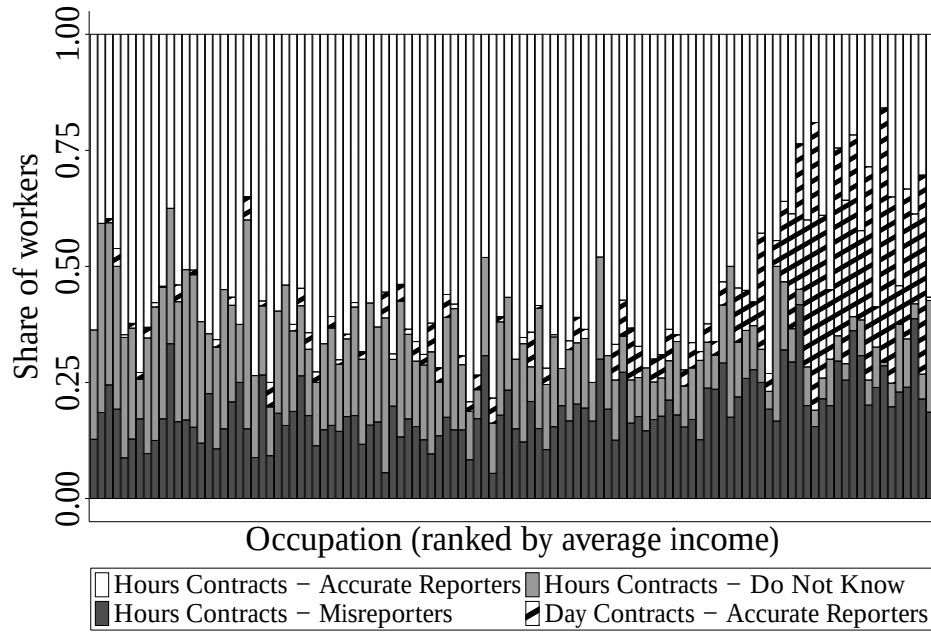
Section 4.1 describes the characteristics of misreporting individuals and isolates potential determinants of misreporting. Section 4.2 establishes to what extent misreporting occurs in some specific workplaces.

4.1 Individual Characteristics

First, we focus on the individual characteristics of workers with an hours contract who misreport their working time status. The goal of the section is to understand who those potentially at-risk individuals are. For example, are they similar in profile to workers with an actual day contract, hence their beliefs, or rather to uncertain workers, as their knowledge of their working time arrangement is also limited? Figure 1 plots the distribution of workers' types by occupation at the 3-digit level in the PCS classification (110 values), where occupations are ranked by average annual labour earnings. Workers with a day contract are concentrated in high-income occupations. This is consistent with legal requirements associated with *forfait jours* agreements that stipulate that workers should have great autonomy in organizing their work tasks and schedules—typically managers, engineers, and senior professionals. In contrast, misreporters, the main group of interest, show a markedly different occupational profile. While slightly overrepresented in typical day-contract occupations, they are dispersed across the entire occupational distribution. Most strikingly, more than 50% of these employees work in an occupation that is supposedly not

eligible for such contracts⁹, therefore the misreporting population appears as relatively diverse in jobs. On the other hand, the representation of workers who do not know their working time arrangement decreases systematically with respect to the income distribution. This suggests that misreporters should be considered as distinct in profile from workers who report not knowing their type of contract.

Figure 1: Distribution of Contract and Information Status by Occupation, 2017



Note: This figure represents the distribution of contract $\times$ information status by occupation, as derived from the combination of the REPONSE17-Workers survey and DADS administrative records. The sample is composed of 21,438 individuals after the removal of workers with a day contract who either answer that they have an hours contract or that they do not know their contract status in the REPONSE17-Workers survey. Workers are classified into four categories: "Day Contract - Accurate Reporters" who report holding a day contract in the survey and who appear as so in the administrative records; "Hours Contract - Accurate Reporters" who report not being subject to a day contract in the survey, consistently with DADS administrative records; "Hours Contract - Misreporters" who report working under a day contract in the survey but do not appear as such in DADS administrative records; "Hours Contract - Do Not Know" workers who respond "do not know" when asked about their contract status in the survey, while working under an hours contract according to DADS administrative records. Occupation groups correspond to the 3-digit level in the PCS classification (110 values) and are ordered by mean DADS annual earnings with lowest-paid occupations on the left. Occupation groups with less than 20 workers in the sample are not displayed.

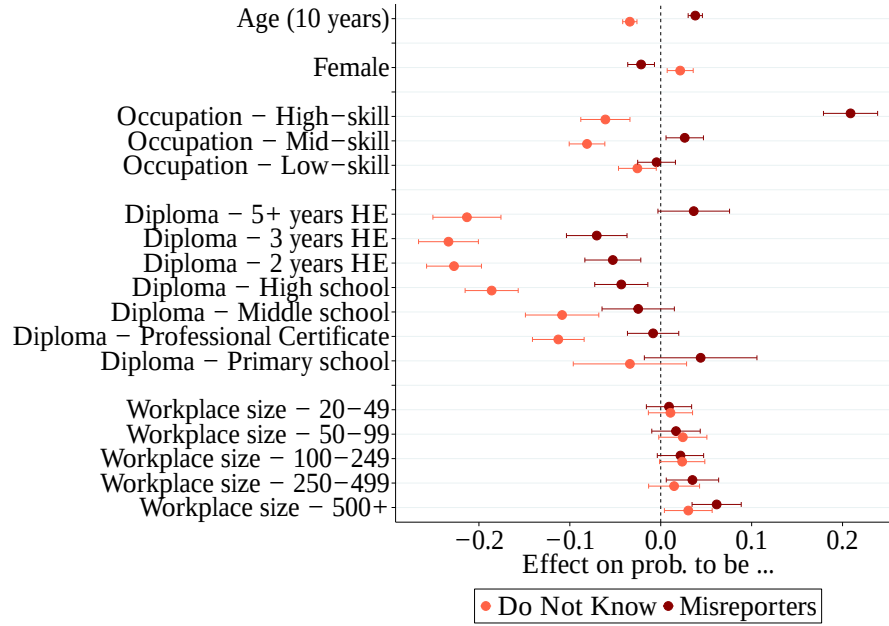
This statement is reinforced by considering other characteristics. Figure 2 examines the demographic and workplace factors that predict misreporting behavior. We first study the role of age, gender, occupation, highest level of diploma, and workplace size. The coefficients are estimated in two separate linear regressions using a dummy equal to 1 if they belong to the corresponding contract $\times$ information group as the outcome and all characteristics simultaneously as covariates.

⁹Here, we consider an occupation as ineligible for *forfait jours* agreement if fewer than 1% of workers in this occupation have a day contract according to the administrative source.

The first regression compares misreporters with workers with an hours contract who accurately report, while the second compares workers who report not knowing their status to the same reference group. We thus compare workers with the same type of contract, hours contract, but who hold different beliefs about it. The results reveal several significant patterns. Older workers are more likely to misreport their contract status, but less likely to report not knowing it. Similarly, women show opposite patterns with regard to both types of beliefs—they are more likely to report not knowing their contract status and less likely to misreport. As previously shown in Figure 1, high-wage occupations are more likely to misreport, but not to report that they do not know their status in the survey. The magnitude of the estimate for misreporters ($\hat{\beta} = 0.209$) is enhanced by the relatively low proportion of white collar workers in the reference group. Within occupations, educational attainment is negatively correlated with misreporting, although much less than not knowing. Lastly, larger establishments are associated with higher rates of misreporting, with the estimate increasing monotonically across size categories. All details of those results are shown in Table A2.

Next, we investigate the importance of the information channel in the phenomenon of misreporting by studying unionized workers and worker representatives. As discussed in Bourdieu et al. (2023), the role of worker representatives is likely to be important and related to the social climate, possible industrial conflicts, and the outcome of negotiations. In the context of this study, we expect worker representatives to be more aware of working time regulations and to act as a source of information for their coworkers. Similarly, unionized workers should be more sensitive to working time issues. We also exploit four additional questions from the REPONSE17 survey measuring worker autonomy: work supervision intensity, work-life balance quality, work schedule nature, and information quality about working time arrangements. Figure A2a shows how these factors relate to misreporting behavior. We find that being a worker representative has no correlation with misreporting the *forfait* status, but is significantly negatively correlated with the probability of reporting not knowing it. The better knowledge of worker representatives yet does not trickle down to other employees in the workplace. Conversely, unionized workers tend to misreport their working time status less, while it is not associated with not knowing it. Additional results show that workers who report having poor information about their working time arrangements are significantly more likely to report unknown contract status.

Figure 2: Characteristics of Misreporters and Uncertain Workers (Hours Contracts)



Note: This figure presents OLS estimates and 95% confidence intervals from regressions examining the relation between misreporting or not knowing their contract status and worker characteristics. The sample is restricted to workers with an hours contract and no missing values on explanatory variables. "Misreporters" and "Do Not Know" workers are respectively workers who report working under a day contract and who report not knowing their contract in the REPONSE17-Workers survey. For each status, a regression is run on all characteristics simultaneously (along with an industry fixed effect), using accurate reporters as group of comparison. Occupations are defined at the 1-digit level in the PCS classification (4 values). Sample sizes in each regression are respectively 16,126 and 15,563. Reference categories are respectively male workers, low-skill manual occupation, no diploma, and workplace size of 11-19 employees. HE = Higher Education. All estimates are relative to workers with an hours contract who report correctly. Estimates are available in Table A2.

4.2 Distribution Across Workplaces

This second part aims to study whether misreporters tend to work in specific workplaces, with particular employment structures and practices. Misreporters are relatively widespread: while representing 18% of the sample, they appear in 2,582 workplaces (47% of the sample), as compared to 1,102 workplaces (20% of the sample) for workers with an actual day contract, representing about 9% of the sample. Do those two types of workers tend to work in the same firms? Figure A3 shows that the presence of misreporters or uncertain workers is not strongly correlated with the share of day-contract workers at the workplace level (split in deciles). We do observe a decrease in the highest decile, where the majority of day contracts are, but overall misreporting does not appear to be primarily driven by mimetic behavior within workplaces where *forfait jours* agreements are common.

Using the employer part of the survey, we then examine the link between employment prac-

tices and labour relations in the workplace and misreporting behavior. The results, shown in Figure A2b, depict misreporters as more likely to work in companies with flexible management. The probability for a worker to misreport increases, sometimes non-significantly, in workplaces with regular negotiations, mutually agreed contract ends, firm-level agreements on working time, and strikingly telework, while it decreases in places with tense climate and with a strong use of overtime hours. Some of those results are driven by the larger proportion of high-skill workers in the group of misreporters (e.g. negotiations, contract ends), but other factors, such as telework and use of overtime hours, also remain significant when restricting the sample to workers with lower skills. This suggests that misreporting may not specifically denote confusion among workers, but rather informal practices in the workplace.

The descriptive analysis reveals that workers with hours contracts who misreport or do not know their contract status differ from each other and also from workers with hours contracts who accurately report their status. The evidence suggests that misreporting is not simply confusion, but reflects how certain workplace conditions might blur the lines between different contract types. This raises an important question: do these workers' incorrect beliefs about their contracts correlate with worse working conditions?

5 Labour Market Outcomes of Misreporters

This section focuses on the relation between misreporting and labour market outcomes. We assess to what extent workers who misreport their working time arrangements are disadvantaged in their job, in terms of monetary and non-monetary features, as compared to similar workers with correct beliefs.

The analysis proceeds in two parts. Section 5.1 examines differences in hours, wages, earnings and job satisfaction between misreporters and correctly informed workers. Section 5.2 explores misreporters' employment trajectories in the short-run.

5.1 Working Conditions

Hours Worked. Do misreporting workers work more hours due to their apparent wrong beliefs about their working time arrangement? To answer this question, we compare their hours worked to similar workers with hours contracts who accurately report their status. We consider two alternative definitions of hours that reflect two different conceptions. First, administrative hours,

as reported by employers in annual social security records and displayed in the DADS datasets, correspond to the number of paid hours worked. Paid hours are defined as including all remunerated periods, not only regular working weeks but also paid leave, a definition close to contract hours. Those annual hours are recomputed as a full-time equivalent over the entire year and divided by 52 to create a weekly measure of hours. Second, reported (usual) weekly hours from the REPOSE17-Workers survey provide a worker perspective comparable to labour force survey measures. At this point, we restrict the sample to workers with both reported and paid hours between 15 and 70 hours per week. This narrows the sample of analysis from 21,438 to 20,210 workers.

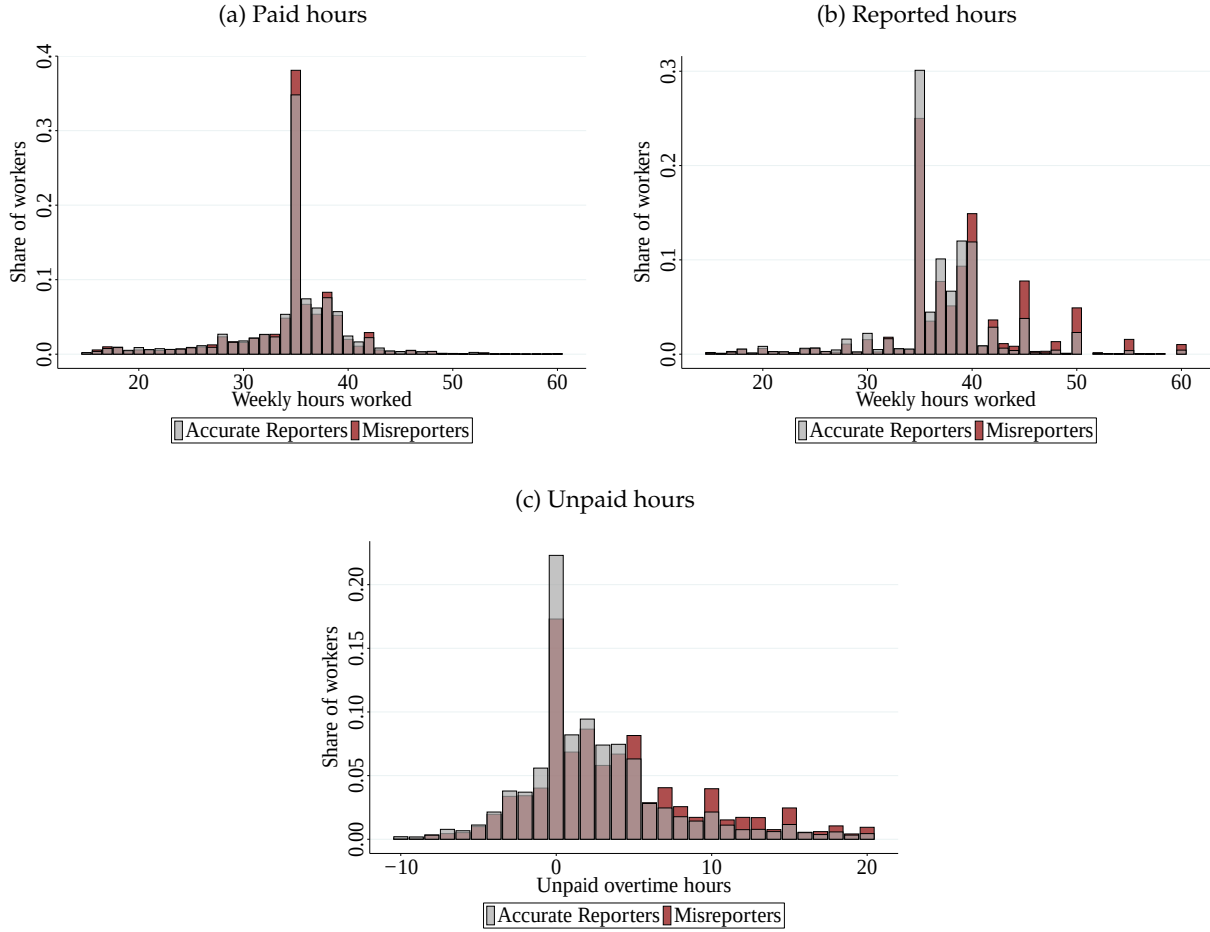
Figures 3a and 3b present distributions of both measures for the two main groups of workers with hours contracts: accurate reporters and misreporters. There is no striking difference between both groups in terms of paid hours but significantly higher reported hours for workers who misreport. In particular, the latter appear to be more likely to work 40 hours or more per week, a duration that would imply overtime compensation. Consequently, the difference between reported and paid hours is larger for misreporters than for accurate reporters, as shown in Figure 3c. This suggests that a larger share of their hours worked may not be associated with a payment. In the rest of the paper, we thus consider the difference between reported and paid hours as unpaid hours worked. Note that this new outcome is meaningless for workers with an actual day contract as their working time is measured in days rather than hours¹⁰.

We turn to a regression approach to account for differences in individual characteristics that may drive the difference in hours worked. We use simple linear regressions, where the coefficient of interest captures the difference in hours associated with being a misreporter as compared to workers with an hours contract who report correctly, holding observables equal. The set of controls includes age, sex, diploma level (8 categories), a dummy for being a part-time worker, and we use two sets of fixed effects dummies for occupation (2-digit level in the PCS classification, 23 levels) and workplace. We consider the three outcomes previously introduced in Figure 3: reported hours, paid hours and unpaid overtime hours.

Columns (1) to (3) of Table 2 display the results in two separate panels, with Panel B adding controls on worker's autonomy (work supervision, work-life balance, schedule and information on working time). Being a misreporter is associated with a 1.7%, or 1.8% with additional con-

¹⁰Employers are not required to report hours of workers with day contracts in the DADS records. Hence, their hours in the dataset are extremely homogeneous and likely result from an imputation by Insee, the French National Institute for Statistics and producer of the database

Figure 3: Hours of Accurate Reporters and Misreporters (Hours Contracts)



Note: These figures represent the distributions of weekly hours worked by workers with hours contracts who either accurately report or misreport their type of contract. The sample is composed of 15,174 workers after restricting it to "Misreporters" and "Accurate Reporters" with both reported and paid hours between 15 and 70 hours per week. Values above 60 in (a) and (b) and below -10 and above 20 in (c) are not displayed. "Accurate Reporters" report not being subject to a day contract in the survey, consistently with DADS administrative records and "Misreporters" report working under a day contract in the REPONSE17-Workers survey but do not appear as such in DADS administrative records.

(a) Paid hours are reported by employers in annual social security records published in the DADS data and cover all periods that involve a remuneration. Those annual hours are recomputed as a full-time equivalent over the entire year and divided by 52 to create a weekly measure of hours.

(b) Reported hours correspond to answers to the question "how many hours per week do you work on average?" in the REPONSE17-Workers survey.

(c) Unpaid hours are defined as the difference between weekly hours reported in the REPONSE17-Workers survey and DADS paid hours.

trols, significant increase in reported hours while having no correlation with paid hours. The combination of both estimates leads to a significant increase in unpaid overtime hours equal to approximately 0.8 hour per week. Misreporters thus appear to work excess hours as compared to similar workers with correct beliefs. On the other hand, we observe no difference in any definition of hours worked for workers who report not knowing their contract status. Finally, although the notion of hours worked is not relevant for them, workers with day contracts report working on

average 10% more hours than workers with hours contracts and similar jobs.

We find that workers who misreport their working time arrangement report on average significantly more hours than workers with similar characteristics and contractual administrative information. We interpret those results as evidence of non-compliance with regulations, since employers should control hours of their workers. As paid hours are identical, the additional reported hours are likely not remunerated and thus could imply a loss in earnings. The next sections examine the relation of misreporting to earnings and other types of compensation.

Earnings and Wages. We then follow the same approach as in the previous section, considering monetary outcomes instead of hours worked. Variables used as outcomes are weekly labour earnings (equal to net annual labour earnings divided by the number of weeks worked over the year) and hourly wages using reported (the *true* hourly wage) or paid hours (the *official* hourly wage). In addition, we measure the differential outcome of workers with actual day contracts in order to compare estimates across different types. This particularly provides a reference for the wage premium associated with the group of misreporters and illuminates their underlying status: are they closer to workers with whom they share the same contract, or to workers with an actual day contract whose status they believe they share??

As before, the coefficient of interest captures the difference in outcome between misreporters and similar workers with hours contracts but correct beliefs. Although it is not the central focus of this paper, the estimation of the coefficient associated with day contracts provides new evidence on the value attached to flexible work arrangements using a unique setting. Columns (4) to (6) of Table 2 report estimates on monetary outcomes. Workers with day contracts are compensated for their important workload by much higher earnings, leading to a 12-14% premium in true wages associated with day contracts. This premium is large and, albeit subject to selection bias, reflects the high value that employers attach to flexible arrangements. In Section 5.2, we leverage panel data to provide similar estimates on earnings controlling for worker fixed effects.

Next, we focus on misreporting workers, whose reported hours exceed those of the reference group. Estimates on earnings and wages show that those workers are overcompensated for their extra hours worked. Their weekly earnings are about 3% higher, which yields, when combined with the gap in reported hours, a marginally significant 1.7% difference in true hourly wages in Panel B¹¹. Paid hours are similar across workers, as in Figure 3a, so the coefficient on hourly wages

¹¹Note that the wage premium does not solely reflect compensation for overtime work, which is paid at higher rates

using paid hours is close to the one on weekly earnings. Overall, results show that misreporters do not have worse working conditions than accurate reporters. We therefore find no evidence that misreporting is associated with rent extraction by employers. However, note that misreporters' earnings premium remains well below that of workers with formal day contracts, whose hourly wages are 11.4% larger than accurate hours contracts (column 5).

than standard hours in France. Using a simple framework to compute the share of the wage difference that should be explained by overtime compensation given the difference in reported hours worked, we find that the counterfactual change in wages driven by the increase in overtime hours is 0.41%. Then, the difference in true hourly wages that we estimate is not solely driven by compensation for overtime work, but also results from underlying gaps in the baseline wage.

Table 2: Hours and Wage Gaps between Misreporters and Non-Misreporters

Dependent Variables:	Reported Hours	Paid Hours	Unpaid Hours	Weekly Earnings	Wages (True)	Wages (Official)
Variable Type:	<i>Log</i>	<i>Log</i>	<i>Level</i>	<i>Log</i>	<i>Log</i>	<i>Log</i>
Model:	(1)	(2)	(3)	(4)	(5)	(6)
Panel A: Baseline						
Hours Contract - Misreporter	0.017*** (0.003)	-0.005 (0.004)	0.856*** (0.125)	0.027*** (0.008)	0.011 (0.008)	0.032*** (0.008)
Hours Contract - Do Not Know	0.001 (0.003)	0.000 (0.004)	0.015 (0.105)	-0.017** (0.007)	-0.018*** (0.007)	-0.017** (0.007)
Day Contract	0.098*** (0.005)	- -	- -	0.212*** (0.017)	0.114*** (0.016)	-
Observations	19,511	19,511	19,511	19,511	19,511	19,511
R ² Adj.	0.72	0.58	0.52	0.77	0.72	0.74
Mean Dep. Var.	37.0	34.6	3.2	482	13.0	14.1
Panel B: With Controls on Worker's Autonomy						
Hours Contract - Misreporter	0.018*** (0.003)	0.002 (0.004)	0.760*** (0.142)	0.035*** (0.009)	0.017* (0.009)	0.033*** (0.009)
Hours Contract - Do Not Know	0.000 (0.003)	0.002 (0.004)	-0.098 (0.124)	-0.013 (0.009)	-0.013 (0.008)	-0.015* (0.009)
Day Contract	0.098*** (0.006)	- -	- -	0.233*** (0.018)	0.135*** (0.018)	-
Observations	14,447	14,447	14,447	14,447	14,447	14,447
R ² Adj.	0.74	0.59	0.53	0.77	0.72	0.74
Mean Dep. Var.	37.0	34.6	3.1	477	12.9	13.9
Baseline controls: Age, Sex, Diploma, Part-Time, U-WR						
Occupation	X	X	X	X	X	X
Workplace	X	X	X	X	X	X

Signif. Codes: ***, 0.01, **, 0.05, *, 0.1.

Note: This table presents OLS estimates of the relationship between contract $\times$ information status and different labour outcomes. "Misreporters" and "Do Not Know" workers are respectively workers who report working under a day contract and who report not knowing their contract in the REPONSE17-Workers survey. Reported hours correspond to responses to self-reported weekly hours worked in the REPONSE17-Workers survey. Paid hours, from the DADS data, are derived from employer-reported annual social security records and converted to weekly full-time equivalents. Unpaid hours represent the difference between reported and paid hours (in levels). Weekly earnings are equal to net annual labour earnings divided by the number of weeks worked over the year. Wages (true) and Wages (official) are computed respectively using reported hours from REPONSE17-Workers survey and DADS paid hours as the definition of hours worked. Log transformations are used for all outcomes except unpaid hours. Panel A uses baseline controls: age, sex, diploma, full-/part-time, U-WR status, along with occupation and workplace fixed effects. "U-WR" refers to a dummy variable equal to 1 if the individual is unionized or acts as a worker representative. Occupations correspond to the 2-digit level in the PCS classification (23 levels). Panel B also includes controls on workers' autonomy: work supervision, work-life balance, schedule and information on working time. The sample for Panel A is composed of 19,511 workers due to the removal of missing values in baseline controls. The sample for Panel B drops to 14,447 workers because of missing values in additional controls. All estimates are relative to workers with an hours contract who report correctly. Standard errors are heteroskedasticity-robust and reported in parentheses.

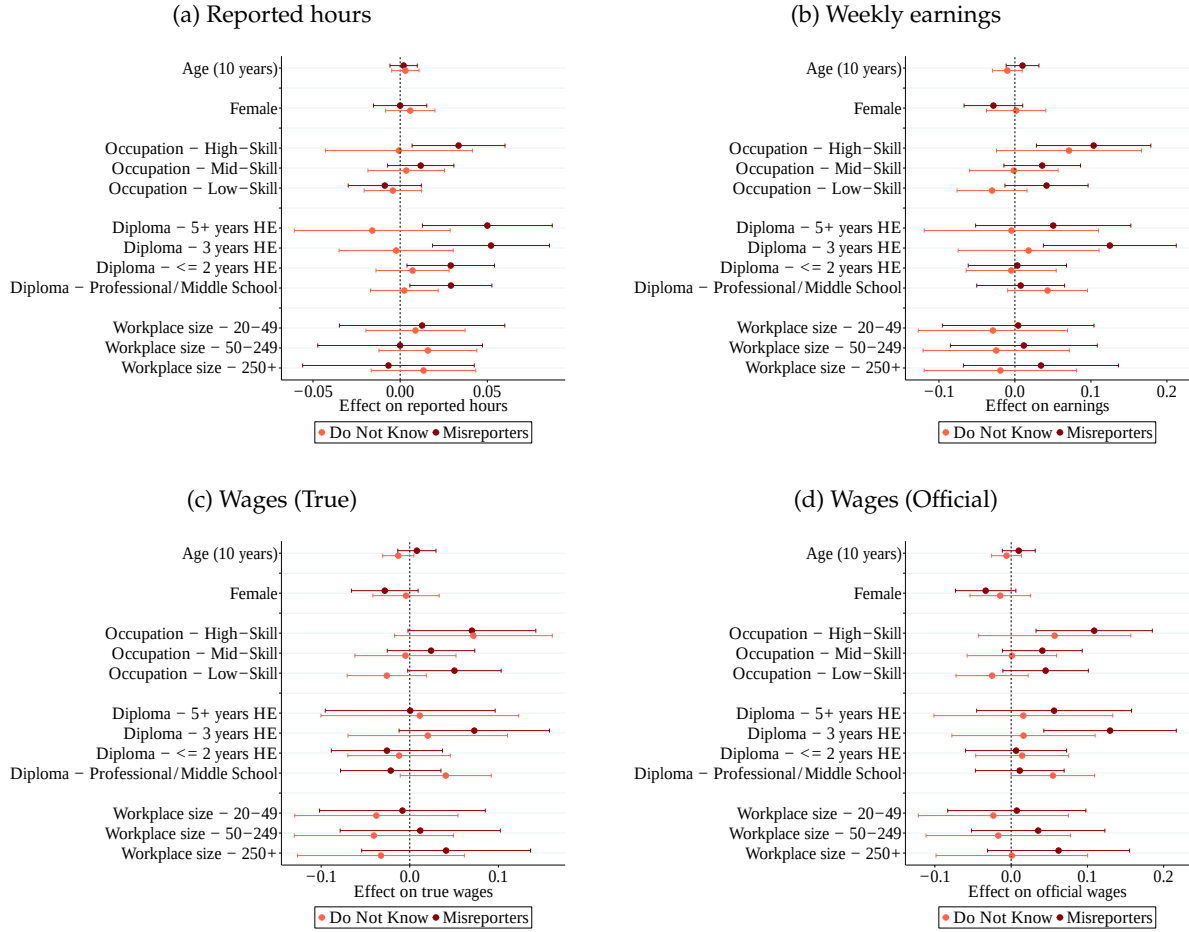
We then examine the heterogeneity behind the main estimates across various worker and firm characteristics, using the sample and specification from Panel B. Figure 4 shows that the hours and earnings gaps are mostly driven by high-skill and mid-skill occupations (low-skill manual occupations serve as reference). The occupation-based heterogeneity is particularly pronounced for high-skill jobs (most of them being executive jobs in private firms), where misreporters work on average more unpaid hours per week, leading to substantial compensation in weekly earnings. Coefficients on hours and earnings cancel out statistically for mid-skill occupations in terms of true wages, however, high- and low- skill occupations benefit from a premium that is significant at the 10% level. The fact that it is the highest for high skill employees suggests that they may be those that benefit most from the arrangement.

The figure also shows that estimates vary significantly in other dimensions. Age shows slightly positive correlation with both hours and earnings. In contrast, female workers exhibit negative correlation with earnings and true wages, indicating that women may be more disadvantaged by their limited knowledge. Estimates associated with higher education are nuanced, with workers having 3 years of higher education showing a positive correlation, while other education levels show more mixed results. Workplace size appears to play a neutral role, as coefficients remain relatively consistent across different firm sizes.

Job Satisfaction. Finally, we apply the same approach to job satisfaction outcomes, finding results consistent with the hours and wages analysis. We consider three dimensions of job satisfaction based on the REPONSE17-Workers survey which cover overall satisfaction, satisfaction with the work schedule, and satisfaction associated with working conditions. Each outcome variable is a dummy variable equal to 1 if the individual reports being either "very satisfied" or "mostly satisfied" about the given topic, as opposed to "mostly not satisfied" and "not satisfied". The expected findings on job satisfaction for both day contract workers and misreporters are theoretically ambiguous, as these groups earn higher wages but also work longer hours.

Table 3 shows how job satisfaction differs between workers who misreport their hours and those who do not. Workers who misreport their hours tend to report slightly higher overall job satisfaction and satisfaction with working conditions compared to accurate reporters, though the estimates are small and generally not statistically significant due to sample size limitations. Importantly, these modest differences are consistently smaller than the satisfaction premia enjoyed by workers with day contracts. As in previous results, workers who misreport locate in the interval

Figure 4: Hours and Wage Gaps: Variation across Workers' and Firms' Characteristics



Note: These figures present OLS estimates and 95% confidence intervals from regressions examining the influence of individual characteristics on the relation between contract $\times$ information status and labour outcomes. The sample is composed of 14,447 workers because of missing values in worker autonomy controls. Each outcome is fit on a separate regression on (i) worker characteristics, (ii) worker characteristics interacted with a dummy for misreporting their status and (iii) worker characteristics interacted with a dummy for not knowing their contract status. Plotted coefficients correspond to the interaction coefficients for each type of worker and each interacted covariate. Controls used are age, sex, diploma, full-/part-time, U-WR status, along with occupation and workplace fixed effects. "U-WR" refers to a dummy variable equal to 1 if the individual is unionized or acts as a worker representative. Occupations correspond to the 1-digit level in the PCS classification (4 values). The reference categories are respectively male workers, low-skill manual occupation, no diploma or primary school diploma, and workplace size of 11-19 employees. We also include controls on workers' autonomy: work supervision, work-life balance, schedule and information on working time. HE = Higher Education. Log transformations are used for all outcomes. All estimates are relative to workers with an hours contract who report correctly. Standard errors are heteroskedasticity-robust and reported in parentheses.

(a) Reported hours correspond to responses to self-reported weekly hours worked in the REPONSE17-Workers survey.

(b) Weekly earnings are equal to net annual labour earnings from the DADS divided by the number of weeks worked over the year.

(c) True wages are computed using reported hours from REPONSE17-Workers survey.

(d) Official wages are computed using DADS paid hours.

between common workers with hours contracts and workers with day contracts. Regarding the working schedule, misreporters show virtually no difference from accurate reporters, consistent with previous estimates on reported hours.

This analysis of job satisfaction outcomes provides important complementary evidence be-

yond traditional measures of hours and earnings. The finding that misreporting workers' satisfaction related to working conditions falls between levels of accurate reporters and day contract workers suggests that misreporters benefit from looser management. The consistency between objective measures (hours and wages) and satisfaction strengthens the validity of the findings and demonstrates that incorporating worker well-being metrics alongside traditional economic indicators provides a more complete understanding of labour market dynamics.

Table 3: Job Satisfaction Gaps between Misreporters and Non-Misreporters

Dependent Variables:	<i>Overall JS</i>		<i>Working schedule JS</i>		<i>Working conditions JS</i>	
Model:	(1)	(2)	(3)	(4)	(5)	(6)
Hours Contract - Misreporter	0.013 (0.008)	0.012 (0.009)	0.001 (0.008)	-0.003 (0.009)	0.019** (0.009)	0.015 (0.010)
Hours Contract - Do Not Know	-0.008 (0.009)	-0.013 (0.011)	0.004 (0.008)	0.000 (0.010)	0.002 (0.010)	0.001 (0.011)
Day Contract	0.025** (0.012)	0.045** (0.017)	-0.016 (0.011)	-0.007 (0.016)	0.030** (0.012)	0.038** (0.017)
<i>Controls: Age, Sex, Diploma, Part-Time, U-WR</i>						
Occupation	X	X	X	X	X	X
Workplace Size	X		X		X	
Industry	X		X		X	
Workplace		X		X		X
Observations	19,440	19,440	19,440	19,440	19,440	19,440
R ² Adj.	0.03	0.32	0.03	0.34	0.04	0.36
Mean Dep. Var.	0.78	0.78	0.81	0.81	0.73	0.73

*Signif. Codes: ***: 0.01, **: 0.05, *: 0.1.*

Note: This table presents OLS estimates of the relationship between contract $\times$ information status and different job satisfaction outcomes. Controls used are age, sex, diploma, full-/part-time, U-WR status. The sample is composed of 19,440 workers due to the removal of missing values in outcomes and controls. "U-WR" refers to a dummy variable equal to 1 if the individual is unionized or acts as a worker representative. For each outcome, the first specification includes occupation, workplace size and industry fixed effects. Occupations correspond to the 2-digit level in the PCS classification (23 values). Industries correspond to 13 aggregate groups in the NAF classification. The second specification replaces workplace size and industry fixed effect with a workplace fixed effect. Outcomes are built using questions from the REPONSE17-Workers survey. Each outcome is a dummy variable equal to 1 if the individual reports being either very satisfied or mostly satisfied with their overall job, working schedule, and working conditions, respectively. All estimates are relative to workers with an hours contract who report correctly. Standard errors are heteroskedasticity-robust and reported in parentheses.

5.2 Labour Market Trajectories

In this subsection, we study the evolution of misreporting workers in the short-run, as compared to workers with hours contracts who accurately report. Our goal is to understand whether the

distinct working conditions, in terms of hours and earnings, experienced by misreporters persist in the years following our initial observation. We track these workers' trajectories based on key employment decisions: whether they remain with the same employer, move to a different firm, or *switch* to a day contract. Then, we exploit those *switchers* from our data in order to estimate changes in outcome associated with signing a *forfait jours* agreement for a given individual.

To track workers across job transitions, we use the chaining procedure from Babet et al. (2022) (detailed in Section 3) to construct a panel dataset based on DADS records covering most of our previously linked workers. This approach allows us to follow 17,318 workers from 2017 to 2019¹² and to observe their employment spells, earnings, paid hours¹³ and working time status up to that point. Throughout this analysis, we classify workers as "movers" if their main employer (i.e. workplace) in that year differs from the previous year, where the main employer is defined as the one providing the highest annual earnings. Conversely, "stayers" are workers who remain in the same workplace across consecutive years. Movers represent 18% of the sample of workers for whom we observe labour market trajectories. The distinction between movers and stayers is important as we want to understand if misreporters experience particular trajectories in their original firm, where they arguably have an ambiguous status leading to their misreport, or if they also evolve differently across employer-to-employer mobility. Selection issues associated with intrinsic differences between stayers and movers are not a first-order threat for our study as we compare workers with different beliefs among stayers and movers.

First, we observe whether misreporters tend to sign a *forfait jours* agreement more often in the short-run, either at their current firm or elsewhere. We define the outcome variable as a dummy equal to 1 if the individual works under a day contract in 2018 or 2019. This is an indication of their proximity to day contracts during their period of misreport. As before, our reference group is composed of workers with hours contracts who report accurately in 2017.

Table 4 shows that workers who misreport in 2017 are 3 percentage points more likely to have signed a *forfait jours* agreement by 2019. This gap is equally driven by workers who stay in their firm and by those who move, indicating that misreporters' tendency toward day contracts is not conditional on previously working with an hours contract. Instead, these workers also appear as more willing or more likely to sign a day contract agreement in other firms.

We then split our sample by occupation. Column 3 concerns high-skill and mid-skill work-

¹²We consider 2019 instead of 2018 to get a longer time span and a larger number of switchers in the last specification.

¹³As we do not observe reported hours in 2019, we cannot study this key outcome with panel data, which is why our primary analysis focuses on the match between REPONSE17-Workers and the DADS 2017.

ers while column 4 concerns low-skill, both manual and non-manual, workers. We find significant positive correlation between misreporting and signing a day contract in both groups, but the coefficient is much larger in the high-skilled sample, where day contract agreements are more common. Most low-skilled workers who end up signing an agreement are tertiary sector workers who move to an executive position. Given that misreporters are more likely to sign *forfait jours* agreements in the short run, this suggests they already have some proximity with respect to day contracts.

Table 4: Signing a Day Contract in the Short-Run

Dependent Variable:	Day Contract by 2019			
Sample:	<i>Baseline</i>		<i>High-Skill</i>	<i>Low-Skill</i>
Model:	(1)	(2)	(3)	(4)
Misreporter	0.033*** (0.005)		0.049*** (0.012)	0.011*** (0.004)
Misreporter $\times$ Stayer		0.019*** (0.003)		
Misreporter $\times$ Mover		0.014*** (0.004)		
Do Not Know	0.002 (0.003)		-0.006 (0.012)	-0.003 (0.002)
<i>Controls: Age, Sex, Diploma, Part-Time</i>				
Occupation	X	X	X	X
Workplace	X	X	X	X
Observations	17,318	17,318	6,839	10,479
R ² Adj.	0.48	0.49	0.62	0.58
Mean Dep. Var.	0.026	0.026	0.055	0.008

*Signif. Codes: ***: 0.01, **: 0.05, *: 0.1.*

Note: This table presents OLS estimates of the relationship between contract $\times$ information status in 2017 and signing a day contract by 2019. The sample consists of 17,318 workers, due to the imperfect tracking of workers between 2017 and 2019 following the chaining procedure by Babet et al. (2022). The outcome variable is a dummy variable equal to 1 if the individual works under a day contract in 2019. "Misreporter" is an indicator variable equal to 1 if the worker had an hours contract in 2017 but misreported their contractual arrangement in the REPONSE17-Workers survey. "Do Not Know" is an indicator variable equal to 1 if the worker had an hours contract in 2017 but reported not knowing their contractual arrangement in the REPONSE17-Workers survey. "Stayer" and "Mover" correspond to dummy variables equal to 1 if the individual is, respectively, in the same firm or in a different firm as in 2017. The "High-Skill" and "Low-Skill" samples gather all workers whose occupation's 1-digit level is respectively 3 or 4, and 5 or 6. Occupation fixed effects correspond to the 2-digit level in the PCS classification (23 values). All estimates are relative to workers with an hours contract who report correctly in 2017. Standard errors are heteroskedasticity-robust and reported in parentheses.

Second, we consider the trajectories in earnings and hours between 2017 and 2019 of work-

ers who misreport or do not know their status in 2017. Given that misreporters tend to have more advantageous working conditions, we investigate whether this translates into better career progression. For each individual of our panel, we compute the growth rate in hours and earnings, using measures from the DADS records. Outcome variables are thus defined as $y_i = (y_{i,2019} - y_{i,2017})/y_{i,2017}$ for a given individual i . We then regress these evolution rates on the "misreporter" and "do not know" dummy variables and focus on the percentage point difference in growth rates between each type of worker and accurate reporters with hours contracts. We remove from the sample workers whose hours or earnings more than double across two consecutive years as we consider them as too extreme. This filter reduces the sample to 15,748 workers.

Table A3 displays the results and suggests that misreporters in 2017 have no differences with accurate reporters in terms of subsequent earnings and hours trajectories through 2019. The coefficient estimates for misreporters are consistently small in magnitude and not statistically significant across all specifications. These findings provide no evidence of meaningful differences in career progression between workers who misreported their hours in 2017 and those who reported accurately, suggesting that misreporting behavior does not systematically relate to subsequent labour market outcomes in the short run. On the other hand, workers who report not knowing their status experience slightly worse career trajectories in earnings, which is consistent with the overall claim that misreporters and "do not know" workers are distinct types of workers.

In the last part of the section, we focus on estimating changes in earnings associated with day contracts, leveraging the panel dimension of our data. Specifically, we examine whether the estimated changes differ when we account for workers' misreporting status. Individual fixed effects are included to control for time invariant unobserved heterogeneity, implying that changes associated with day contracts are estimated on workers who switch between hours and day contracts during the period of observation. The sample consists of 13,333 workers, and 26,666 observations, with each worker appearing in both 2017 and 2019. The drop in the number of observations is due to our focus on full-time workers¹⁴ to avoid our estimates on earnings from being contaminated by changes in working time. 7.5% of workers initially on hours contracts switched to day contracts, while 9.6% of workers initially on day contracts switched to hours contracts. To identify how the earnings of these switchers changed, we perform linear regression models of the type:

$$Y_{it} = \alpha Day_{it} + \beta Day_{it} * Misreporter_{i2017} + \gamma_i + \delta 1_{t=2019} + \phi X_{it} + \epsilon_{it} \quad (1)$$

¹⁴Full-time workers are identified in the DADS data through a separate variable from hours worked, allowing us to identify these workers regardless of contract type.

with Y_{it} the daily labour earnings of worker i in year t ¹⁵, Day_{it} an indicator variable if worker i holds a day contract in year t , $Misreporter_{it}$ an indicator variable if worker i has an hours contract in year 2017 and misreports it, γ_i a worker-specific fixed effect, $1_{t=2019}$ a dummy variable equal to 1 if the year is 2019, and X_{it} a set of time-varying characteristics. Daily earnings are calculated as the ratio of net annual labour earnings from the DADS data to the number of days worked during the year. We exclude observations below the 5th percentile and above the 95th percentile to eliminate extreme values, e.g. that may result from very short employment periods.

We start by studying the earnings premium associated with switching from an hours to a day contract or vice versa. To this end, we do not include the interaction term $Day_{it} * Misreporter_{i2017}$ in the first columns of Table 5. Column 1 shows the results without controls while column 2 controls for workers' occupation and tenure, workplace size and industry. The results indicate that day contracts increase daily earnings by approximately 7% compared to hours contracts. The estimates remain stable when controls are added, suggesting that switchers are relatively homogeneous along these dimensions.

Columns 3 and 4 split the sample by whether workers remain in the same workplace or change workplaces when switching contracts. The increase in daily earnings is significantly larger for movers, but reflects the strong endogeneity of mobility to changes in earnings. Columns 5 and 6 reproduce the baseline specification but exclude workers who switch from day to hours contracts, focusing solely on the more common transition to day contracts. This restriction yields a larger estimate on daily earnings, equal to about 9%.

Finally, columns 7-10 replicate the earlier specifications while including the interaction term with misreporters. This allows us to examine whether the correlational effect of switching to a day contract differs for workers who were initially potentially unaware of their contractual arrangement. Stayers who switch from hours to day contract earn 3 percent higher wages, while movers experience almost a 9% increase. Again, the difference is driven by the prospect of higher earnings on the decision to move. Comparing prior misreporters and accurate reporters within category, we find that the interaction term on misreporters is consistently negative, albeit non-significant, and almost offsets the earnings premium. This result suggests that workers who initially misreported their contract type experience almost no earnings gains when switching to day contracts. For stayers, the lack of wage gains is possibly simply due to their better working condi-

¹⁵We cannot estimate the regression on hours worked as paid hours, measured in the DADS data, are meaningless for workers with day contracts. The same applies to hourly wages.

tions prior to the switch as compared to accurate reporters with hours contracts. However, wide differences in wage gains for movers also raise questions about the long-term career trajectories of these workers as compared to accurate reporters.

Table 5: Earnings Premium of Day Contracts

Dependent Variable: Sample:	Daily Earnings									
	<i>Baseline</i>		<i>Stayers</i>	<i>Movers</i>	<i>No "Day to Hour"</i>		<i>Baseline</i>		<i>Stayers</i>	<i>Movers</i>
Model:	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)
Day Contract	0.069*** (0.012)	0.066*** (0.012)	0.019* (0.010)	0.066*** (0.022)	0.090*** (0.013)	0.082*** (0.013)	0.116*** (0.019)	0.104*** (0.018)	0.033** (0.013)	0.088** (0.036)
Day Contract × Misreporter 2017							-0.059** (0.026)	-0.051** (0.026)	-0.023 (0.020)	-0.070 (0.048)
<i>Controls and Fixed effects</i>										
Demographics		X	X	X		X		X	X	X
Worker FE	X	X	X	X	X	X	X	X	X	X
Year FE	X	X	X	X	X	X	X	X	X	X
Observations	26,666	26,623	22,337	4,286	26,426	26,383	26,426	26,383	22,225	4,158
R ² Adj.	0.90	0.90	0.92	0.82	0.90	0.90	0.90	0.90	0.92	0.82

Signif. Codes: ***: 0.01, **: 0.05, *: 0.1.

Note: This table presents estimates from event-study regressions specified in Equation 1 using linked DADS-REPOSE17 panel data between 2017 and 2019. The dependent variable is the log of net annual labour earnings from the DADS datasets divided by the number of days worked over the year. "Day Contract" is an indicator variable equal to 1 if the worker holds a day contract. "Misreporter 2017" is an indicator variable equal to 1 if the worker had an hours contract in 2017 but misreported their contractual arrangement. The baseline sample is based on the population of 17,318 workers that we successfully track between 2017 and 2019, but we focus on full-time workers observed in both years to get a sample of 13,333 workers and 26,666 observations. The "Stayers" specifications restrict the sample to workers who remained with the same employer, while the "Movers" ones keep workers who changed employers between 2017 and 2019. The "No Day to Hour" specifications exclude workers who switched from day to hour contracts. Demographics controls include worker occupation, tenure, workplace size, and industry. Worker fixed effects (Worker FE) control for time-invariant unobserved heterogeneity. Year fixed effects (Year FE) control for common time trends. Heteroskedasticity-robust standard errors are reported in parentheses.

6 Discussion

Our research reveals a critical and often overlooked dimension of contemporary labour markets: the growing complexity of working time arrangements and the consequent information asymmetries that emerge. By examining the discrepancies between legal frameworks and workers' understanding of their employment contracts, we uncover a significant phenomenon where approximately 20% of workers misreport their working time arrangements. This gap is associated with more unpaid hours, higher earnings and a higher probability of later moving to a formal day contract, suggesting that some workers occupy an intermediate position between standard hours

contracts and formal day contracts.

Our findings raise the question of how well existing regulation accommodates the demand for flexibility. Misreporters work more unpaid hours than comparable accurate reporters but also earn more, and their earnings remain well below those of workers with formal day contracts (Section 5.1). One interpretation is that some workplaces organize flexibility informally, compensating workers through higher pay in grey areas of working time regulation. Yet in France, a formal day-based arrangement already exists: *forfait jours* agreements must be provided for by a collective agreement, require the employee's written consent, and are restricted to workers with substantial autonomy over their schedules. The informal flexibility we document may therefore reflect two forces. First, access to the formal arrangement may be constrained: more than half of misreporters work in occupations where day contracts are virtually absent. Second, existing contractual options may be used differently in practice: misreporters, particularly in high- and mid-skill occupations, are more likely to move to a formal day contract within two years, consistent with informal arrangements preceding formal ones. Our data do not allow us to establish why a particular formal or informal arrangement is adopted, or how its gains are shared between employers and workers, and we view these explanations as complementary.

It is important, however, to qualify the scope of these findings. Misreporting is not confined to high earners: misreporters span the wage and occupation distribution (Figure 1). However, the earnings and wage gaps we document are largest in high-skill occupations (Figure 4), where workers typically hold stronger bargaining positions. Our results should therefore not be extended to lower-paid or lower-skilled segments of the labour market, where the consequences of such discrepancies for workers could differ.

The transformation of work towards more flexible and individualized models has created challenges in enforcing working time regulation¹⁶. Our findings demonstrate that this flexibility is not uniformly understood or experienced across the workforce. The implications of these information gaps are profound. Where discrepancies reflect limited knowledge of the formal regime, workers may accept working conditions that deviate from their legal protections without realizing it. This suggests the need for more transparent mechanisms of communication within workplaces and potentially more robust regulatory oversight to ensure workers are fully informed about their rights and obligations.

¹⁶ As of 2023, *forfait jours* agreements grew from 10% to 17% of the salaried workforce. The increase is as much due to a boom in high-skilled tertiary sector jobs than to within-sector dynamics.

By documenting these employment practices, we aim to provide insights that can help policymakers and labour regulators prevent potential abuses and adapt existing frameworks to the evolving nature of work. Future research should continue to explore these information asymmetries and their broader implications for worker welfare and labour market dynamics.

During the preparation of this manuscript, we used Claude for language editing purposes, including improving clarity, grammar, and style, and correcting potential errors. The tool was not used to generate research ideas, analysis, data, results, or substantive content. All intellectual content, analysis, and conclusions are our own. We reviewed and edited the AI-assisted text and take full responsibility for the content of the publication.

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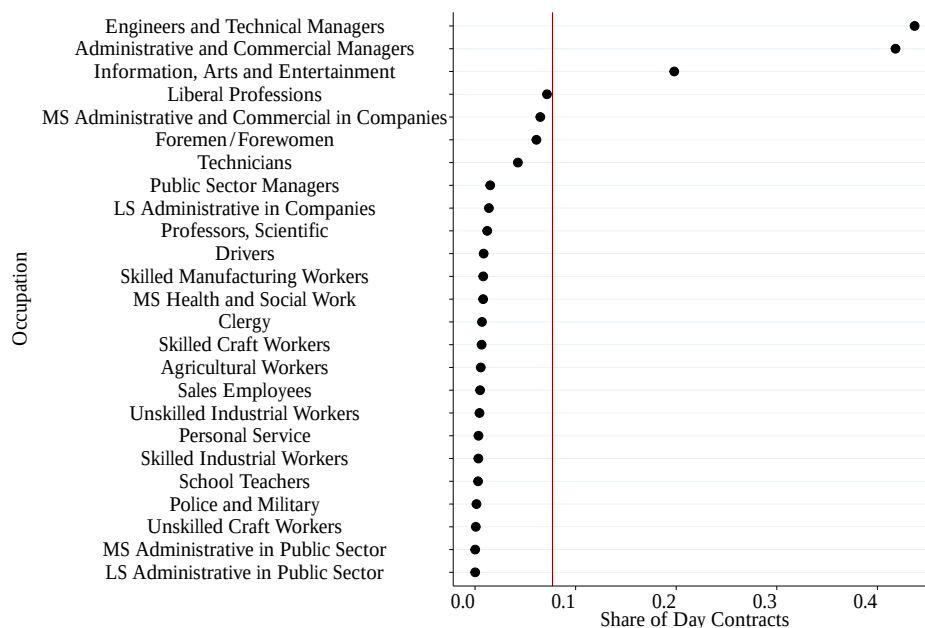
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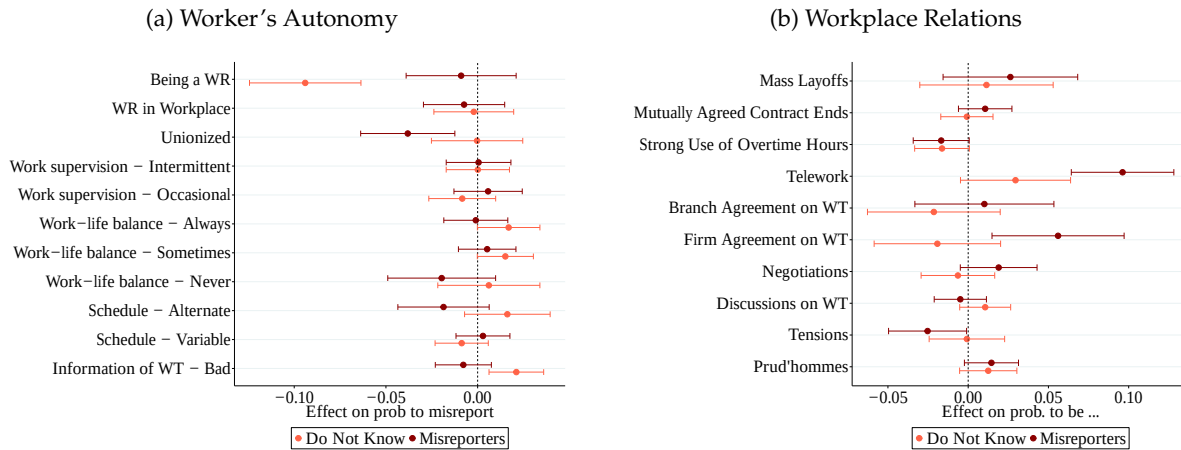
Appendix A Additional Figures and Tables

Figure A1: Share of Day Contracts by Occupation



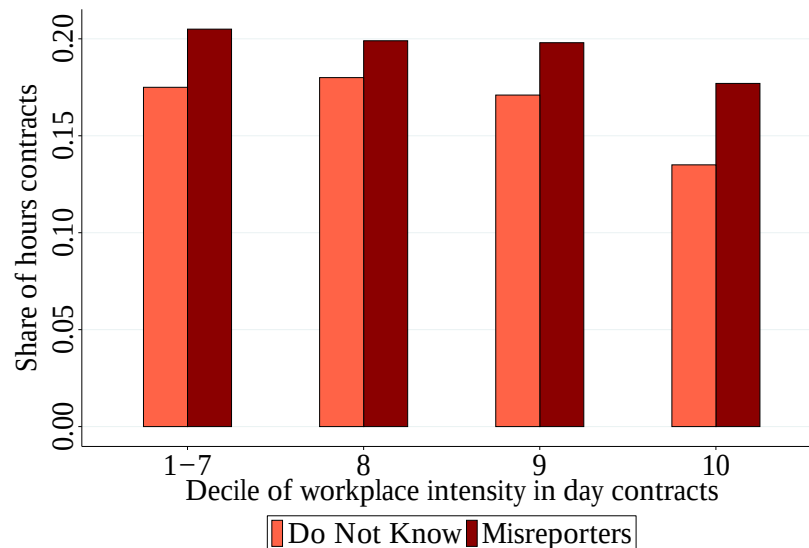
Note: This figure represents the share of workers with day contracts by occupation, defined at the 2-digit level in the PCS classification (23 values), in the DADS records. The DADS dataset is restricted to primary jobs, defined as the job associated with highest earnings, in workplaces of at least 10 employees with non-missing information on day contracts. This restriction is introduced in order to reproduce the scope of the REPONSE17 sample. "MS" = "Mid-Skilled" ; "LS" = "Low-Skilled".

Figure A2: Workplace Characteristics of Misreporters and Uncertain Workers (Hours Contracts)



Note: This figure presents OLS estimates and 95% confidence intervals from regressions examining the relation between misreporting or not knowing their contract status and workplace characteristics. The sample is restricted to workers with an hours contract and no missing values on explanatory variables. "Misreporters" and "Do Not Know" workers are respectively workers who report working under a day contract and who report not knowing their contract. For each information status, a regression is run on all characteristics simultaneously (along with an industry fixed effect). All estimates control for demographic and workplace characteristics shown in Figure 2. Sample sizes in each regression are respectively 10,592 and 10,228 due to the removal of missing values in explanatory variables. WR = Worker Representative. WT = Working Time. "Prud'hommes" are French labour courts which handle employment disputes and contract violations. All estimates are relative to workers with an hours contract who report correctly.

Figure A3: Misreporters and Uncertain Workers by Workplace Intensity in Day Contracts



Note: This figure represents the proportion of misreporters and uncertain workers among hours contracts by decile of workplace intensity in workers with day contracts, defined as their share in the workplace. The sample is composed of 19,032 workers after restricting to workers with hours contracts in workplaces with at least 2 workers. "Misreporters" and "Do Not Know" workers are respectively workers who report working under a day contract and who report not knowing their contract. The first column gathers workplaces with no day-contract workers.

Table A1: Descriptive Statistics of Original and Matched Samples

		REPONSE17	DADS-REPONSE17
Number of workers		28,529	21,708 (76%)
Number of workplaces		5,956	5,448
Self-Reported Day Contract (%)		29.7	26.7
Gender (%)	Women	43.6	43.4
Age (%)	15-24	4.0	3.5
	25-34	22.0	21.5
	35-44	29.3	29.9
	45-54	31.3	32.0
	55+	13.4	13.1
Occupation (%)	High-Skill	23.1	20.0
	Mid-Skill	23.1	23.9
	Low-Skill Non-Manual	25.9	26.8
	Low-Skill Manual	27.8	29.3
Earnings (%)	< 15,000	18.2	14.9
	15,000 - 20,000	20.5	19.5
	20,000 - 25,000	20.1	21.7
	25,000 - 35,000	21.7	24.3
	> 35,000	19.5	19.6
Size of Workplaces (%)	11-19	7.4	7.7
	20-49	20.2	21.5
	50-99	15.4	15.9
	100-499	32.4	33.1
	> 500	24.6	21.7
Part-Time (%)		13.3	11.7

Note: This table compares characteristics between the final DADS-REPONSE17 sample, the original REPONSE17 sample, and the DADS dataset for 2017. The DADS-REPONSE17 sample is obtained by a 1-to-1 linkage procedure described in Section 3.3.

Table A2: Characteristics of Misreporters and Uncertain Workers (Hours Contracts)

Dependent Variables: Model:	Misreporter		Do Not Know	
	(1)		(2)	
	Estimate	S.E.	Estimate	S.E.
Age	0.004***	(0.000)	-0.003***	(0.000)
Female	-0.022***	(0.007)	0.021***	(0.007)
Occupation - High-Skill	0.209***	(0.014)	-0.061***	(0.015)
Occupation - Mid-Skill	0.026**	(0.010)	-0.081***	(0.010)
Occupation - Low-Skill	-0.005	(0.011)	-0.026**	(0.010)
Diploma - 5+ years HE	0.036*	(0.019)	-0.213***	(0.019)
Diploma - 3 years HE	-0.070***	(0.017)	-0.233***	(0.016)
Diploma - 2 years HE	-0.053***	(0.015)	-0.227***	(0.014)
Diploma - High School	-0.043***	(0.015)	-0.186***	(0.013)
Diploma - Middle School	-0.025	(0.020)	-0.108***	(0.018)
Diploma - Professional Certificate	-0.008	(0.014)	-0.113***	(0.012)
Diploma - Primary School	0.044	(0.029)	-0.034	(0.027)
Workplace Size - 20-49	0.009	(0.013)	0.011	(0.013)
Workplace Size - 50-99	0.017	(0.014)	0.024*	(0.014)
Workplace Size - 100-249	0.022	(0.013)	0.024*	(0.013)
Workplace Size - 250-499	0.035**	(0.015)	0.015	(0.015)
Workplace Size - 500+	0.061***	(0.014)	0.030**	(0.014)
<i>Fixed-effects</i>				
Industry	X		X	
Observations	16,126		15,563	
R ² Adj.	0.06		0.05	

Signif. Codes: ***: 0.01, **: 0.05, *: 0.1.

Note: This table presents OLS estimates and standard errors from regressions examining the probability of misreporting or not knowing their contract status. Samples are restricted to workers with an hours contract and no missing values on explanatory variables. "Misreporters" and "Do Not Know" workers are respectively workers who report working under a day contract and who report not knowing their contract in the REPONSE17-Workers survey. For each information status, a regression is run on all characteristics simultaneously (along with an industry fixed effect), using accurate reporters as group of comparison. Occupations are defined at the 1-digit level in the PCS classification (4 values). Reference categories are respectively male workers, low-skill manual occupation, no diploma, and workplace size of 11-19 employees. HE = Higher Education. All estimates are relative to workers with an hours contract who report correctly. Standard errors are heteroskedasticity-robust and reported in parentheses.

Table A3: Earnings and Hours Worked in the Short-Run

Dependent Variables:	Δ Earnings			Δ Hours		
Sample:	<i>Baseline</i>	<i>Stayers</i>	<i>Movers</i>	<i>Baseline</i>	<i>Stayers</i>	<i>Movers</i>
Model:	(1)	(2)	(3)	(4)	(5)	(6)
Misreporter	-0.001 (0.006)	0.002 (0.006)	-0.017 (0.028)	-0.002 (0.005)	-0.002 (0.005)	-0.014 (0.022)
Do Not Know	-0.012** (0.006)	-0.011* (0.006)	-0.016 (0.029)	-0.006 (0.005)	-0.008 (0.006)	0.011 (0.026)
<i>Controls: Age, Sex, Diploma, Part-Time</i>						
Occupation	X	X	X	X	X	X
Workplace	X	X	X	X	X	X
Observations	15,748	12,804	2,944	15,748	12,804	2,944
R ² Adj.	0.42	0.42	0.76	0.40	0.43	0.74

*Signif. Codes: ***: 0.01, **: 0.05, *: 0.1.*

Note: This table presents OLS estimates of the relationship between misreporting or not knowing their contract in 2017 and trajectories in earnings and hours up to 2019. The sample consists of 15,748 workers due to the imperfect tracking of workers between 2017 and 2019 following the chaining procedure by Babet et al. (2022) and the removal of workers who more than double their earnings or hours across two consecutive years. "Misreporters" and "Do Not Know" workers are respectively workers who report working under a day contract and who report not knowing their contract in the REPOSE17-Workers survey. Occupations correspond to the 2-digit level in the PCS classification (23 levels). Outcome variables are computed as evolution rates in earnings and hours between 2017 and 2019, i.e. $y_i = (y_{i,2019} - y_{i,2017})/y_{i,2017}$. The variables used are net annual labour earnings and paid annual hours from the DADS data. All estimates are relative to workers with an hours contract who report correctly in 2017. Standard errors are heteroskedasticity-robust and reported in parentheses.